

Time: 3 Hours

Max. Marks: 80

Note:

- (1) All questions are compulsory.
- (2) Figures to the right indicate full marks for the questions.
- (3) Figures to the left indicate question numbers.
- (4) Answer to every question must be started on a new page.

Q.1. (A) Select the proper option from the options given below and rewrite the sentences: (5)[15]

- (1) Refusal to allot shares is conveyed through _____.
(a) regret letter (b) allotment letter (c) call letter
- (2) If a share of ₹ 100 is issued at ₹ 100, it is said to be issued at _____.
(a) Premium (b) Par (c) Discount
- (3) Wealth maximization of owner means maximization of _____ of shares.
(a) face value (b) issue value (c) market value
- (4) Unpaid / unclaimed dividend shall be transferred to 'Investors' Education and Protection Fund' on expiry of _____ years.
(a) three (b) seven (c) six
- (5) A company with share capital must issue _____ shares.
(a) equity (b) preference (c) right

(B) Match the correct pairs: (5)

	Group "A"		Group "B"
a.	Dividend	1.	Security about repayment
b.	Financial plan	2.	1875
c.	Secured debentures	3.	Return on investment of shareholders
d.	American depository receipt	4.	1857
e.	Establishment of Bombay Stock Exchange	5.	Management of business funds
		6.	Repaid on maturity
		7.	Debenture certificate holder
		8.	Advance programming of financial management
		9.	Receipt is traded in a country other than USA
		10.	Receipt is traded in USA

(C) Write a word or a term or phrase which can substitute each of the following statements: (5)

- (1) A market where short term funds are borrowed and lent.
- (2) The shares which are issued to existing equity shareholders as a gift.
- (3) The bonds on which rate of interest remains constant throughout the life of the bond.
- (4) The organization which acts as intermediary between investors and depository.
- (5) Documents used for payment of dividend to members.

Q.2.	Distinguish between the following: (Any three) (1) Dematerialization and Rematerialization (2) Transfer of shares and Transmission of shares (3) Primary market and Secondary market (4) Shares and Debentures (5) Interim dividend and Final dividend	[15]
Q.3.	Write notes on the following (Any three): (1) Share warrant (2) Importance of financial planning (3) Initial Public Offer (IPO) (4) Global depository receipt (5) Provisions regarding unpaid/ unclaimed dividend	[15]
Q.4.	State with reasons, whether the following statements are True or False: (Any three) (1) The financial market contributes towards the nation's economic growth and development. (2) The bond holders are owners of the company. (3) Depositor's approval is must for renewal of deposit. (4) A share certificate is a bearer document. (5) Debentures are never redeemed by the company.	[15]
Q.5.	Attempt the following: (Any two) (1) State the position of debenture holders in a company. (2) Draft a letter of thanks to the depositor of a company. (3) What are the factors affecting requirement of fixed capital? (4) Draft a letter to a debenture holder informing him about redemption of debentures.	[10]
Q.6.	Define 'preference shares'. Explain various types of preference shares. OR Draft a letter of allotment of shares to the applicant.	[10]